HOW IT WORKS ?

The MACD line denotes the distance between the shorter-term and longer-term moving averages. In the process, it shows the degree of convergence and divergence in asset prices and moving averages. We compare this difference with a moving average computed on the MACD line to generate buy and sell signals.

ELEMENTS

The MACD line has multiple elements. Let us understand them one by one. Firstly, we select two-time horizons – one for the short term and another for the long term. By default, it is 26 DMA and 12 EMA. These two elements and the difference between them will help us calculate the third element which is the MACD line itself. The farther away from zero levels is the MACD line, greater is the divergence. Next, we will use the fourth element which is a short term moving average of the MACD line. We will take the MACD level in last N periods and calculate the moving average. Next, we can also change the period for which we want the MACD moving average to be calculated. Lastly, we have bars on the graph. The bars are nothing but the difference between MACD line and its moving average. We will see that whenever the MACD line and its moving average crossover, the bar goes back to zero.

SUITABILITY

These are again suitable for indices and large-cap stocks. We will avoid most indicators on small and mid-cap space as one key investor or promoter can manipulate the asset price with much greater ease.

TRADING SYSTEM

We will use the MACD indicator in two ways. Firstly, the distance of MACD from the zero lines indicates the degree of divergence. So, whenever MACD is near zero, we can say that convergence is occurring and we will combine it with other indicators to check the occurrence of the next divergence. So, it helps us identify potential convergences.

Next, we can also use MACD to create trading signals. Whenever the MACD line crosses over its moving average, we can enter or exit a trade. When the MACD line crosses the moving average from below, it is a buy indicator. Whenever the MACD line crosses over from above, it is a sell signal. However, this too has quite a few false buys and sell signals. As a result, we need to combine this other indicator.